January 2026 Paper 02

Question 1

1(a) Maria's career choices

Maria is a student at Happy Valley High School. She wants to pursue business education but is uncertain of the career choices in the field of business. List THREE careers in the field of business that Maria could pursue. (3 marks)

Three careers in the field of business that Maria could pursue are:

- Accountant - a person who keeps the financial records of a business, prepares budgets and final accounts and gives financial advice to the owners.
- Marketing manager - a person who plans and runs the activities used to find out what customers want and to promote and sell the products of a business.
- Human resource manager - a person who is in charge of recruiting, training, paying and looking after the welfare of the workers in a business.

1(b) Stakeholders in business activities

List THREE stakeholders involved in business activities. (3 marks)

Three stakeholders involved in business activities are:

- Owners or shareholders, who provide the capital used to set up and run the business and expect to receive profits in return.
- Employees, who provide their labour to the business in exchange for wages or salaries and other benefits such as training and job security.
- Customers, who buy the goods and services produced by the business and depend on the business for quality products at fair prices.

1(c) Functional areas of a business

Describe EACH of the following functional areas of a business: (i) Production (2 marks); (ii) Research and Development (R&D) (2 marks)

Production

Production is the functional area of the business that is responsible for actually making the goods or providing the services that the firm sells. The production department plans how the goods will be made, manages the raw materials and machinery, organises the workers in the factory or workshop, and makes sure that the finished goods meet the required quality standards before they leave the business.

Research and development (R&D)

Research and Development is the functional area of the business that is responsible for finding new ideas and improving existing products and processes. The R&D department studies what customers might want in the future, tests new materials and designs, and develops new products or new ways of producing

existing ones. This helps the business to stay competitive and to keep up with changes in technology and consumer tastes.

1(d) Code of ethics

The adoption of a code of ethics is important for the successful operation of a business organization. Define the term 'code of ethics'. (2 marks)

A code of ethics is a written set of rules and standards of behaviour that a business expects its owners, managers and workers to follow when dealing with customers, suppliers, fellow employees, the government and the wider community. It sets out clearly what the business considers to be honest, fair and responsible conduct in carrying out its activities.

1(e) Legal and ethical practices for business owners

(i) State TWO legal and/or ethical practices that business owners are expected to adopt in the operations of a business. (2 marks); (ii) Explain ONE negative effect that could occur if a business fails to engage in EACH practice stated in (e)(i). (6 marks)

(e)(i) TWO legal and/or ethical practices

- Honesty in advertising and dealings with customers, which means giving truthful information about the products being sold, charging the agreed price and not making false claims to encourage people to buy.
- Paying all required taxes and fees to the government on time, including income tax, business tax and National Insurance contributions for the workers, as set out in the laws of the country.

(e)(ii) ONE negative effect of failing to engage in EACH practice

Failing to be honest in advertising and dealings with customers

If a business misleads customers with false claims or sells goods of poorer quality than advertised, customers will quickly lose trust in the business and stop buying from it. The business may also be reported to consumer protection bodies and taken to court, where it can be fined or forced to refund customers. Bad publicity travels fast through social media and word of mouth, so the loss of reputation usually leads to a sharp drop in sales and may even force the business to close.

Failing to pay taxes and fees to the government

If a business does not pay its taxes and statutory fees on time, the tax authority can charge interest and heavy penalties on the unpaid amounts and, in serious cases, take the owners to court. The business can also have its operating licence revoked or its bank accounts frozen, which would stop it from trading. On top of the financial cost, the owners and managers may face criminal charges that damage both their personal reputation and the long-term standing of the business.

Question 2

2(a) Collateral

(i) Define the term 'collateral'. (2 marks); (ii) List THREE examples of collateral. (3 marks)

(a)(i) Definition

Collateral is something of value that a borrower offers to a lender as security for a loan. If the borrower fails to repay the loan as agreed, the lender has the legal right to take and sell the item of collateral in order to recover the money owed.

(a)(ii) THREE examples of collateral

- Land or buildings (real estate) owned by the borrower.
- Motor vehicles such as a car or truck registered in the borrower's name.
- Fixed deposits, shares or insurance policies held by the borrower at a bank or other financial institution.

2(b) Elements of a business plan

List THREE elements of a business plan. (3 marks)

Three elements of a business plan are:

- The executive summary, which is a short overview of the whole plan, including the name of the business, the products or services it will offer, the target market and how much money is needed.
- The marketing plan, which describes the target customers, the price that will be charged, how the products will be promoted and how they will be distributed to customers.
- The financial plan, which sets out the start-up costs of the business, the expected sales and expenses, the projected profit and the sources of finance the owner will use.

2(c) Juan's feasibility study

Juan wants to establish a fast-food business. He has been advised to conduct a feasibility study. (i) Outline TWO reasons why it is important for Juan to conduct a feasibility study. (4 marks); (ii) Identify ONE primary and ONE secondary source of information that Juan could use when conducting the feasibility study. (2 marks)

(c)(i) TWO reasons a feasibility study is important

To check whether the business idea will actually work

A feasibility study forces Juan to look carefully at the demand for fast food in the area, the competition he will face and whether he has the skills and money to run the business properly. By doing this checking before he spends any money, Juan can find out whether his fast-food idea is likely to succeed or whether he should change the idea or drop it altogether, which saves him from making a costly mistake.

To support a loan or investment application

Banks and other lenders will usually not give Juan a loan to start his fast-food business unless he can show evidence that the business has been carefully thought out. A feasibility study provides this evidence in a clear, organised form, with figures on expected sales, costs and profits, which makes it much easier for Juan to convince a bank or an investor to lend him the money he needs.

(c)(ii) ONE primary and ONE secondary source

Primary source

Juan could carry out a survey of people living and working in the area where he plans to open the fast-food business, asking them how often they buy fast food, what types of meals they prefer and how much they are willing to pay. The information he gets directly from these potential customers is a primary source because it is collected first-hand for his specific study.

Secondary source

Juan could use published reports from the Statistical Institute of his country or from the Caribbean Development Bank to find information on the size of the population in the area, average household income and existing eating-out trends. This is a secondary source because the information was originally collected and published by someone else for a different purpose, and Juan is simply making use of it for his feasibility study.

2(d) Factors influencing location of a fast-food business

Explain TWO factors Juan should consider when determining the location of his fast-food business. (6 marks)

Closeness to customers and foot traffic

Fast food depends on a high volume of customers, and most of those customers are people who are already in the area for some other reason such as shopping, working or attending school. Juan should therefore choose a spot that is close to a busy shopping centre, a school, a transport hub or an office complex, where many people pass by every day. A location with poor foot traffic, no matter how cheap the rent, would not give him enough customers to make the business profitable.

Cost of rent and availability of utilities

Juan must make sure that the cost of renting the premises will not eat up his profits, so he should compare the rent in different locations and balance it against the number of customers each location is likely to attract. He should also check that the location has reliable supplies of electricity, gas, water and proper waste disposal, because a fast-food business uses a lot of these utilities every day. A location where electricity is unreliable or water supply is poor would interrupt operations and damage the reputation of the business.

Question 3

3(a) Factors of production and natural resources

(i) Identify TWO factors of production. (2 marks); (ii) Identify TWO major natural resources of the Caribbean. (2 marks); (iii) Name ONE industry developed from EACH of the natural resources identified in (a)(ii). (2 marks)

(a)(i) TWO factors of production

- Land - all the natural resources used in production, such as soil, minerals, forests and the sea.
- Labour - the human effort, both physical and mental, used to produce goods and services.

(a)(ii) TWO major natural resources of the Caribbean

- Bauxite, which is mined heavily in Jamaica and Guyana.
- Petroleum (crude oil) and natural gas, found mainly in Trinidad and Tobago.

(a)(iii) ONE industry developed from each natural resource

Bauxite is used as the raw material for the alumina and aluminium industry, where bauxite is processed into alumina and then into aluminium for export and for use in manufacturing.

Petroleum and natural gas are used as the raw material for the petrochemical and oil-refining industry, which produces fuels, fertilisers, methanol and ammonia for both local use and for export.

3(b) Levels of production

Define EACH of the following levels of production and state ONE example of EACH level of production: (i) Subsistence (2 marks); (ii) Domestic consumption (2 marks)

Subsistence

Subsistence production is the lowest level of production, where a producer makes goods or grows crops only to satisfy the needs of his or her own family, with little or nothing left over to sell. An example would be a small farmer in a rural area who plants ground provisions, vegetables and fruit trees mainly to feed his household, selling only the small surplus that the family cannot eat.

Domestic consumption

Domestic consumption production is the level at which a producer makes enough goods or provides enough services to satisfy not only the producer's own needs but also the wider needs of the local market within the country. An example would be a chicken farm in Trinidad that supplies fresh chicken to supermarkets and restaurants throughout Trinidad and Tobago, producing more than enough for the local market but not yet exporting to other countries.

3(c) Production vs Productivity

Differentiate between 'production' and 'productivity'. (4 marks)

Production

Production refers to the actual creation of goods or the provision of services to satisfy human wants and needs. It measures the total quantity or output that a business or country has made over a given period of time, for example the number of cases of soft drinks bottled in a month or the number of cars assembled in a year.

Productivity

Productivity, on the other hand, measures how efficiently the resources of the business have been used to create that output. It compares the output produced with the inputs used, such as labour, capital or raw materials, and is often expressed as output per worker per hour. A business that produces 1,000 units with 10 workers in one hour is more productive than another business that produces the same 1,000 units with 20 workers in the same hour, even though both have the same level of production.

3(d) Shortage of construction workers in Cocoa Island

The construction industry in Cocoa Island is experiencing a boom but builders have reported a shortage of construction workers to meet the demand. Explain TWO factors that may have contributed to the shortage of construction workers in Cocoa Island. (6 marks)

Migration of skilled workers to other countries

Many of the more experienced builders, masons, carpenters and electricians from Cocoa Island may have moved to larger countries such as the United States, Canada or the United Kingdom, where wages are much higher and working conditions are often better. This loss of skilled labour, often called the 'brain drain', leaves construction firms on the island with fewer trained workers available to take on new projects, even though the demand for construction has grown.

Lack of training and changing career preferences among young people

Construction work is physically demanding and is often viewed as old-fashioned by younger people, who may prefer to look for jobs in tourism, banking, information technology or the music and creative industries. At the same time, technical and vocational training programmes for construction trades may not be producing enough new workers to replace those who retire or migrate. The result is that the supply of new construction workers cannot keep up with the rapid increase in demand caused by the building boom.

Question 4

4(a) Marketing and the marketing mix

(i) Define the term 'marketing'. (2 marks); (ii) List the FOUR elements of the traditional marketing mix. (4 marks)

(a)(i) Definition of marketing

Marketing is the set of business activities used to identify the needs and wants of customers and to satisfy those needs and wants profitably. It involves researching the market, designing the product, deciding the price, choosing how the product will reach the customer and promoting the product so that customers know about it and want to buy it.

(a)(ii) FOUR elements of the traditional marketing mix

- Product - the goods or services that the business offers to satisfy customer needs, including features, quality, design and packaging.
- Price - the amount of money the customer is asked to pay for the product.
- Place - how and where the product is made available to the customer, including the channels of distribution and physical location.
- Promotion - all the activities the business uses to inform customers about the product and persuade them to buy it, such as advertising, sales promotion, personal selling and publicity.

4(b) Branding

(i) Describe the marketing activity known as 'branding'. (2 marks); (ii) Colour is a critical component of a brand. Identify TWO other components that should be considered when creating a brand. (2 marks)

(b)(i) Branding

Branding is the marketing activity in which a business gives its product a unique identity, made up of a name, logo, design and image, so that customers can easily recognise the product and tell it apart from other similar products on the market. A strong brand also creates feelings and associations in the customer's mind, which builds loyalty and allows the business to charge a price that reflects the value of the brand.

(b)(ii) TWO other components when creating a brand

- The brand name and logo, which give the product an instantly recognisable label and visual symbol that customers will associate with the business.
- The slogan or tagline, which is a short, memorable phrase that captures the personality of the brand and the main promise it makes to customers.

4(c) Flavourful Distribution Co. ice cream packaging and consumer response

Flavourful Distribution Co. is about to launch a new fruit-based, non-dairy ice cream. However, the managers are undecided as to the most appropriate type of packaging for the new product. (i) Outline TWO factors the firm should consider in determining the most suitable packaging for the new ice cream product. (4 marks); (ii) Explain TWO factors that could influence consumers' response to Flavourful's new ice cream. (6 marks)

(c)(i) TWO factors the firm should consider in choosing packaging

Ability to keep the product frozen and in good condition

Because ice cream melts quickly, the packaging must be able to keep the product frozen and protect it from heat, light and air during transport, storage and display in the shops. Materials such as insulated tubs with tight-fitting lids would help to keep the ice cream at the right temperature and prevent it from being damaged before the customer takes it home.

Cost of the packaging and its environmental impact

The packaging must be affordable enough to keep the price of the ice cream competitive, but it should also be safe for the environment. Many Caribbean consumers and governments are now concerned about plastic waste, so Flavourful should consider using recyclable or biodegradable packaging where possible. This not only protects the environment but also gives the brand a positive, modern image with health- and environment-conscious customers.

(c)(ii) TWO factors that could influence consumers' response

Price of the new ice cream compared with similar products

Consumers will compare Flavourful's new fruit-based, non-dairy ice cream with other ice creams already on the market, including dairy ice cream and other plant-based options. If the price is much higher than competitors without an obvious advantage, many shoppers will simply choose the cheaper option,

especially in households with limited income. On the other hand, a fair price that reflects the quality of the ingredients can encourage consumers to try the product.

Health, dietary and lifestyle preferences of consumers

More Caribbean consumers are now lactose intolerant or are choosing to avoid dairy for health, religious or environmental reasons, so a fruit-based, non-dairy ice cream may appeal strongly to that group. Other consumers may be loyal to traditional dairy ice cream and may be slow to try a new alternative. The way Flavourful explains the health benefits and the natural fruit content of the product through its labelling and advertising will therefore have a big effect on whether consumers are willing to try and accept the new ice cream.

Question 5

5(a) Business technology

(i) Define the term 'business technology'. (2 marks); (ii) Identify TWO forms of technology and state how EACH form has influenced the services offered by commercial banks to their customers. (4 marks)

(a)(i) Definition of business technology

Business technology refers to the tools, equipment, software and systems that a business uses to carry out its activities more efficiently. This includes computers, the internet, mobile devices, point-of-sale machines, accounting software and the various electronic systems used for communication, record keeping and the processing of transactions.

(a)(ii) TWO forms of technology and their influence on commercial banks

Automated Teller Machines (ATMs)

ATMs are computerised machines placed in branches and at convenient public locations that allow bank customers to withdraw cash, check their balances, transfer funds and pay certain bills at any time of day or night. They have greatly reduced the need for customers to stand in line at the bank counter and have allowed commercial banks to serve a much larger number of customers without having to employ many more tellers.

Online and mobile banking

Through online banking websites and mobile banking applications on smartphones, customers can now check their accounts, transfer money, pay bills, request loans and even open new accounts from their homes or workplaces. This has allowed commercial banks to offer 24-hour service, reach customers in remote areas and reduce the cost of running large branch networks.

5(b) Productivity tools and ICT applications

List FOUR types of productivity tools and/or specialist ICT applications used in business operations. (4 marks)

- Word processing software, such as Microsoft Word, used to create letters, reports and other written documents.

- Spreadsheet software, such as Microsoft Excel, used to record figures, calculate totals, prepare budgets and produce financial statements.
- Accounting software, such as QuickBooks or Sage, used to keep proper books of accounts and to generate invoices, payslips and management reports automatically.
- Customer relationship management (CRM) software, used to store information about customers and their purchases so that the business can market to them more effectively and improve customer service.

5(c) E-commerce and E-business

Define EACH of the following terms: (i) E-commerce; (ii) E-business. (4 marks)

E-commerce

E-commerce, short for electronic commerce, refers specifically to the buying and selling of goods and services over the internet. It includes activities such as ordering items from an online store, paying with a credit or debit card on a website, and having the goods delivered or downloaded electronically.

E-business

E-business, short for electronic business, is a wider term that covers all the business activities a firm carries out using the internet and electronic technology, not only buying and selling. It includes online marketing, online customer service, the use of email and intranets to communicate with employees and suppliers, online recruitment and the management of inventory and accounts using electronic systems.

5(d) Online shopping

In recent years, online shopping has increased significantly in the Caribbean. Explain ONE advantage and ONE disadvantage of online shopping to Caribbean citizens and/or Caribbean economies. (6 marks)

Advantage: Wider choice and convenience for citizens

Online shopping allows Caribbean citizens to buy goods that are not available in their local shops, often at lower prices, and to do so from the comfort of their homes at any time of the day or night. This is especially helpful for people who live in rural areas with few stores, or who work long hours and do not have time to visit shopping malls. It also makes it easier for citizens to compare prices and read reviews before making a purchase, so they can make better-informed buying decisions.

Disadvantage: Loss of business for local retailers and outflow of foreign exchange

When Caribbean consumers buy heavily from foreign websites such as Amazon, money flows out of the local economy to overseas businesses. Local shops, especially small retailers, lose customers and may have to lay off workers or even close. This reduces the jobs and tax revenue available in the country, and the high level of imported online purchases worsens the country's balance of payments by using up scarce foreign exchange.